WAVERLEY GATEWAY GUIDE

Connecting International Capital

ROMANIA

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Bucharest–Ilfov	Capital region and largest economy; seat of government, the National Bank of Romania and the Bucharest Stock Exchange	IT and business services, finance, real estate, logistics
Constanța and the Black Sea coast	Romania's main seaport and the onshore gateway for the Neptun Deep offshore gas project, due to start production in 2027	Offshore gas, port logistics, energy services, agri-exports
Cluj-Napoca and Transylvania	Major university city and Romania's leading technology hub outside the capital	Software, IT services, R&D, advanced manufacturing
Timișoara and the West	Manufacturing cluster closest to Hungary and Central Europe, well integrated into European supply chains	Automotive components, electronics, logistics
Brașov and the Centre	Established industrial region with engineering and aerospace capabilities	Engineering, automotive, defence manufacturing, tourism
Iași and the North-East	University city and the main link to the Republic of Moldova and Ukraine	IT, healthcare, cross-border logistics
Danube corridor	Navigable river route linking the Black Sea with Central Europe, with road and rail crossings to Bulgaria	Logistics, agri-processing, energy

INVESTOR ENTRY ROUTES

- InvestRomania, the government's investment promotion agency, provides information and facilitation for foreign investors
- State-aid schemes run by the Ministry of Finance, including a proposed 5.3 billion lei (about €1.05 billion) programme for new production facilities with investments of at least 50 million lei
- A 16% corporate income tax and a 1% turnover tax for microenterprises with revenue up to €100,000; standard VAT is 21% and dividend tax 16%
- EU single-market and Schengen membership since January 2025, with free movement of capital under EU rules; the leu is managed by the National Bank of Romania
- EU co-financing through cohesion funds and the Recovery and Resilience Facility, with EU inflows expected to peak at about 3.5% of GDP in 2026
- Defence-sector entry through the €16.68 billion EU SAFE loan, the second-largest allocation in the EU
- Energy-sector partnerships with state and private champions such as Romgaz and OMV Petrom

MARKET-ENTRY OBSERVATION

Romania in November 2026 combines EU and Schengen membership, a large domestic market and some of Europe's most significant energy projects with an investment boom driven by EU funds. Gross fixed capital formation rose 12.7% year-on-year in the second quarter of 2026 and construction output 15.3%, as EU inflows support public investment of about 8.5% of GDP. Foreign direct investment inflows rebounded to €8.1 billion in 2025, according to EY, with 109 announced projects. The €4 billion Neptun Deep project, holding about 100 billion cubic metres of gas, is on track for first gas in the first half of 2027, with plateau output of about 8 billion cubic metres a year. Romania also signed a €16.68 billion SAFE defence loan in May 2026, and is in the final stage of joining the OECD.

Romania's main structural challenge is correcting the largest budget deficit in the EU. The deficit fell from 9.3% of GDP in 2024 to 7.9% in 2025, and the 2026 target is 6.25%, under an EU excessive deficit procedure. Tax rises, including VAT at 21% from August 2025, pushed inflation up and squeezed consumption, so GDP fell 0.4% year-on-year in the second quarter of 2026, although inflation has since eased to 6.6% in September. Politics have now stabilised: after the government of Ilie Bolojan fell in May 2026, Parliament approved Prime Minister Luca Niculescu's government on 20 October with 280 votes. S&P affirmed Romania's investment-grade BBB- rating in October 2026 and expects growth of 2.25% in 2027 as consolidation continues. For investors, this is a period to secure positions in energy, defence and EU-funded infrastructure ahead of the recovery.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Large fiscal deficit and EU procedure	The deficit was 7.9% of GDP in 2025 and is targeted at 6.25% in 2026, so further tax and spending measures are likely	The EU deficit procedure anchors consolidation; take local advice and build tax-change scenarios into plans
Credit rating at the lowest investment grade	S&P and Fitch rate Romania BBB- with negative outlooks, reflecting fiscal and external deficits	S&P affirmed the rating in October 2026; a credible 2027–2028 budget plan would support the outlook
Economic slowdown and inflation	GDP fell 0.4% year-on-year in Q2 2026 and inflation was 6.6% in September, with the policy rate held at 6.50%	Investment is growing strongly and growth is forecast to recover in 2027; plan for wage and energy-cost pressure
Political fragmentation	Several attempts to form a government failed after May 2026 before a minority government was approved in October	The new government has broad parliamentary support; monitor coalition stability and policy ahead of 2028 elections
Tax and regulatory changes	Frequent changes, including the lower microenterprise threshold, higher dividend tax and a 4% bank turnover tax	Structure investments with advisers and track the budget calendar closely
EU-funds delivery	Missed reform milestones, such as the public wage law, cost Romania €750 million in recovery grants	Absorption of recovery funds is above 90% for grants; partner with experienced local firms on EU-funded projects
Black Sea region security	Romania borders Ukraine and sits on a Black Sea affected by the Russia–Ukraine war	As an EU and NATO member, Romania benefits from collective security; include shipping and insurance contingencies

INVESTOR RISK NOTE

Romania's risk profile is that of an EU and NATO member with a fast-rising investment base and a clear need for fiscal correction. The deficit has fallen from 9.3% of GDP in 2024 to 7.9% in 2025 and is targeted at 6.25% in 2026 under an EU excessive deficit procedure, but S&P and Fitch keep negative outlooks on their BBB- ratings and S&P cites a current account deficit of about 7.5% of GDP. Consolidation has slowed growth and raised inflation, while the political crisis that followed the fall of the Bolojan government in May 2026 ended with the approval of the Niculescu government in October. Romania is not on the FATF grey list and has been a full Schengen member since January 2025. It borders Ukraine and Moldova, and EU sanctions on Russia apply in full. Investors who plan for tax changes and work with EU-funded and energy projects can benefit from one of the EU's strongest investment cycles.

MARKET ACCESS

As an EU member, Romania gives investors tariff-free access to the EU single market and to all EU free trade agreements, with trade with third countries governed by the EU's common trade policy and WTO rules. Full Schengen membership since January 2025 ended border checks with Hungary and Bulgaria, cutting freight times to Central Europe. The port of Constanța connects the Black Sea with the Danube and Central Europe. From 2027, Neptun Deep gas will strengthen Romania's position as a regional energy supplier.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Government of Romania (Prime Minister Luca Niculescu)	Independent-led government approved on 20 October 2026, facing the task of cutting the deficit while supporting growth	Primary reference point for economic policy and major projects
Presidency (President Nicușor Dan)	Head of state; nominates the prime minister and leads on foreign and defence policy	Relevant for strategic, defence and international partnerships
InvestRomania	Government investment promotion agency supporting foreign investors with information and introductions	Standard first point of contact for market entry
National Bank of Romania (BNR)	Central bank holding the policy rate at 6.50% and managing the leu	Relevant for monetary outlook, currency and banking matters
Ministry of Finance (Minister Alexandru Nazare)	Leads the budget, tax policy, the deficit procedure and state-aid schemes for investors	Key counterpart on tax, incentives and public finance
Romgaz and OMV Petrom	Equal partners in the €4 billion Neptun Deep offshore gas project, operated by OMV Petrom	Counterparts for energy services, supply and gas offtake
Ministry of National Defence	Manages SAFE-funded procurement under the €16.68 billion loan	Counterpart for defence manufacturers and suppliers

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Romania, the British Romanian Chamber of Commerce, the German-Romanian Chamber of Industry and Commerce and the Chamber of Commerce and Industry of Romania are the main business associations, with regular dialogue with government on tax and regulation. The Foreign Investors Council represents major international companies. The European Bank for Reconstruction and Development, the European Investment Bank and the World Bank are active in energy, infrastructure and private-sector finance, and EU-funded programmes offer co-financing for qualifying projects. Embassies of major EU partners and the United States maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Romania suits investors seeking an EU base with strong growth potential and lower costs: energy companies and service providers targeting Neptun Deep, renewables and grids; defence manufacturers positioned for SAFE-funded procurement; construction and engineering groups bidding for EU-funded transport and infrastructure; manufacturers in Timișoara, Brașov and other western and central clusters; and IT and services firms drawing on talent in Bucharest, Cluj-Napoca and Iași. Investors should plan for further tax and spending changes during fiscal consolidation.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage InvestRomania and the Ministry of Finance
Open dialogue on market entry and test eligibility for state-aid schemes for new production capacity.

STEP 2: Position for energy and defence opportunities
Approach Romgaz, OMV Petrom and defence procurement bodies for Neptun Deep services and SAFE-funded contracts.

STEP 3: Map EU funding opportunities
Identify cohesion and recovery programmes that can co-finance infrastructure, energy and digital components.

STEP 4: Plan for fiscal and tax developments
Track the 2027 budget and deficit procedure, and model VAT, dividend and sector-tax changes in financial plans.

STEP 5: Use Romania as a regional platform
Assess Constanța and the North-East as bases for trade with Moldova and Ukraine, screening activity against EU sanctions.